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Judgment Sheet

LAHORE HIGH COURT LAHORE

JUDICIAL DEPARTMENT

F.A.O. No.68910 of 2022

Oil Marketing Association of Pakistan

Versus

Oil Companies Advisory Council and 02 others

J U D G M E N T

Date of Hearing	29.10.2025
For the appellant	Mr. Ahmad Ali Ranjha, Advocate.
For the respondents	Syed Hassan Raza and Rai Abid Raza, Advocates for respondent No.1. Mr. Qamar Hanif Ramay, Assistant Attorney General for the Federation of Pakistan.

Raheel Kamran J:- The instant First Appeal from Order (“F.A.O.”) has been filed under Section 21(4) of the Trade Organizations Act, 2013 (hereinafter, “*the Act of 2013*”) challenging the vires of the order-in-appeal dated 05.10.2022 (hereinafter, “*the impugned order*”) passed by the Committee of the Federal Cabinet, Ministry of Commerce, Government of Pakistan. (hereinafter “*the Committee*”).

2. By the impugned order, the Committee being appellate body, in exercise of powers under Section 21(2) of the Act of 2013, while allowing the appeal filed by the Oil Companies Advisory Council respondent No.1 (hereinafter, “*the OCAC*”) set aside the decision of the Regulator dated 24.09.2021 whereby application of the OCAC for grant of licence for registration of proposed association was rejected.

3. Factual matrix of the matter is that the appellant claiming to be representing Oil Marketing Companies (“OMCs”) in Pakistan with the support of 22 out of 34 registered oil marketing companies, applied for licence for registration as Trade Organization under the Act of 2013. During the pendency of appellant’s application, the OCAC also filed an application for registration

on 15.04.2021. Application of the appellant was allowed on 26.08.2021, whereas that of the OCAC was rejected on 24.09.2021. The OCAC assailed the rejection of its application by filing appeal, which was allowed vide the impugned order, hence this appeal.

4. Learned counsel for the OCAC respondent No.1, at the outset, while placing reliance upon the dicta laid down in “Taufiq Asif and others v. General (Retd.) Pervez Musharraf and others” (PLD 2024 SC 610) and “Messers Z.A. Corporation through Proprietor v. Federation of Pakistan through Secretary Commerce, Islamabad and 2 others” (PLD 2025 Lahore 200) contended that the instant appeal is not maintainable before this Court for want of territorial jurisdiction. He explained that the impugned order was passed by the Committee of the Federal Cabinet at Islamabad and the controversy pertains to licensing/registration of a trade organization under the federal statute, involving regulation of the oil sector on an all-Pakistan basis. According to him, the parties to the *lis* as well as the member companies of both associations carry on trans-provincial operations, hence, the cause of action is not confined to the Province of Punjab. He maintained that in these circumstances, the proper forum to assail an order of a federal authority passed at Islamabad, having all-Pakistan ramifications, is the Islamabad High Court and therefore, the present appeal is liable to be dismissed as having been filed before an incompetent forum.

5. In rebuttal to the objection qua maintainability, learned counsel for the appellant while placing reliance on the judgment of this Court in the case of “Messrs Jet Green (Pvt.) Limited v. Federation of Pakistan and others” (PLD 2021 Lahore 770) contended that applying the *ratio* laid down therein, the present appeal is competent and maintainable before this Court.

6. Learned Assistant Attorney General, appearing for the Federation, also endorsed and adopted the submissions advanced by learned counsel for respondent No.1 in support of the preliminary objection regarding the maintainability of this appeal.

7. Since the learned counsel for respondent No.1 has raised a preliminary objection regarding the maintainability of the instant appeal on the touchstone of territorial jurisdiction, this Court deems it appropriate to first adjudicate upon the said threshold objection. It is well settled that jurisdiction

goes to the root of the matter; therefore, this issue is being determined prior to entering upon or expressing any opinion on merits of the controversy between the parties.

8. The instant appeal on a question of law has been preferred by the appellant under Section 21(4) of the Act of 2013. For facility of reference, Section 21 is reproduced as under:—

“21. Appeal---(1) Any person or trade organisation aggrieved by any decision or order of the Administrator may, within fourteen days of communication of such decision or order, prefer appeal to the Regulator.

(2) Any person or trade organisation aggrieved by any decision or order of the Regulator may, within fourteen days of communication of such decision or order, prefer appeal to the Federal Government whose decision, subject to sub-section (4), shall be final.

(3) On appeal under sub-section (1) the Regulator or, as the case may be, under sub-section (2) the Federal Government may suspend the operation or execution of the decision or order appealed against until the disposal of such appeal.

(4) Any person aggrieved by the final order or decision or the Federal Government, involving a question of law, may, within thirty days of such order or decision, prefer appeal to the High Court.”

(Emphasis supplied by this Court).

A plain reading of Section 21(4) shows that the legislature has conferred a right of appeal “to the High Court” against a final order/decision of the Federal Government, involving a question of law. The provision, however, does not specify which High Court has been conferred with such jurisdiction. In such a situation, the forum has to be determined on settled constitutional principles governing territorial jurisdiction, i.e., the High Court within whose territorial limits the impugned act was done/proceedings were taken, and where the dominant and integral cause of action lies.

9. The Supreme Court of Pakistan in “Rechitt & Colman (U.K.) PLC v. Sheikh Soap Factory and another” (PLD 1993 SC 129), while examining an appeal arising out of a judgment of this Court whereby an F.A.O. against an order of the Registrar of Trade Marks, Karachi had been allowed, authoritatively held that territorial jurisdiction is to be determined with reference to the situs of the proceedings and the place where the impugned order was passed. It was held that since the Registrar’s office was located at Karachi and the proceedings culminating in the impugned order were also

conducted there, the competent forum was the High Court of Sindh at Karachi, and not the Lahore High Court. The relevant extract from the said judgment is reproduced below for ready reference:—

“5. We are more impressed about the second contention raised on behalf of the appellants to the effect that Lahore High Court has no jurisdiction on the ground that Registrar’s office is at Karachi and proceedings were taken before him at Karachi, hence High Court of Sindh at Karachi had jurisdiction. In this context section 76 of Trade Marks Act of 1940 contemplates that appeal from the decision of the Registrar shall lie to the High Court having jurisdiction. Our attention has been drawn to the case of Abdul Ghani Ahmed v. Registrar, Trade Marks, Government of India reported in AIR 1947 Lahore 171, in which person residing in Lahore made an application for registration of trade mark to Registrar of Trade Marks at Bombay which was refused and he filed appeal before the Lahore High Court. It was held that Bombay High Court had jurisdiction and not Lahore High Court for the reason that mere residence of a petitioner would not in the absence of statutory provision invest a Court with jurisdiction as there is no provision of this kind either in the Trade Marks Act or in any other Act in respect of appeals from the decision of the Registrar of Trade Marks. As against this learned counsel for the respondents argued before us that Registrar Trade Marks has jurisdiction all over Pakistan and also he has an office set up in Lahore, therefore, High Court at Lahore also had jurisdiction. When asked categorically whether proceedings in respect of trade mark were held at Karachi or at Lahore, the reply was that proceedings took place at Karachi and order passed by the Registrar and impugned in the appeal was also passed at Karachi. In support of his contention learned counsel for the respondents cited before us the case of Al-Iblagh Limited v. Copyright Board, Karachi and others 1985 SCMR 758. It is held in the reported case that any order passed by the Board or proceedings taken by it in relation to any person in any of the four Provinces in Pakistan gives jurisdiction to the High Court of the Provinces in whose territory such person resides. Reported case is distinguishable for the reason that language used in section 77 of the Copyright Ordinance, 1962 pertaining to appeals against the order of the Board is worded differently from section 76 of the Trade Marks Act of 1940 inasmuch as in section 77 of the Copyright Ordinance it is specifically mentioned that appeal would lie to the High Court within whose jurisdiction appellant actually and voluntarily resides or carries on business or personally works for gain. We, therefore, approve the view expressed in the case of Abdul Ghani Ahmed (supra) and hold that in the instant case appeal was competent before High Court of Sindh at Karachi, as order of the Registrar, Trade Marks impugned in the appeal was passed at Karachi and proceedings also took place at Karachi.”

10. In the case of “Taufiq Asif and others v. General (Retd.) Pervez Musharraf and others” (PLD 2024 SC 610), the Supreme Court has reaffirmed

the governing test for territorial jurisdiction. Relevant excerpt from the said judgment is reproduced hereunder for reference:-

“13. The Lahore High Court assumed territorial jurisdiction in the matter, stating the reason that since the respondent also challenged, along with the acts and proceedings of the Special Court, the Federal Government's acts, i.e., the acts of filing the complaint and constituting the Special Court, it had the jurisdiction to adjudicate upon the matter. The reason is flawed and is also against the law declared by this Court in Sandalbar and Amin Textile¹ as well as by the Lahore High Court in Sethi and Sethi. The ratio of these cases is that it is the dominant object of the petition, i.e., the main grievance agitated and the ultimate relief sought in the petition, which determines the territorial jurisdiction of the High Courts. If the ultimate relief sought relates to an act done or proceeding taken within the territorial jurisdiction of a particular High Court, no other High Court in the country can assume and exercise writ jurisdiction on the pretext that one of the reliefs sought relates to an act of a federal body. The splitting of claims and reliefs in several actions (suits or petitions) regarding one cause of action is also not legally permissible under Order II, Rule 2, C.P.C. No person can, therefore, seek relief regarding an act of a federal body from one High Court and relief regarding an act done in furtherance of or pursuance to that act from another High Court. Both reliefs must be sought in one petition and adjudicated by the High Court which has territorial jurisdiction over both acts.

14. In the present case, the main grievance agitated and the ultimate relief sought by the respondent in his writ petition were about the acts done and the proceedings taken by the Special Court at Islamabad. Over such acts and proceedings, only the Islamabad High Court enjoyed territorial jurisdiction, and only the Islamabad High Court could judicially review the legality thereof under Article 199(1)(a)(ii) of the Constitution. The Lahore High Court had no such jurisdiction; it wrongly assumed and exercised the jurisdiction that was not vested in it by the Constitution with regard to the acts done and proceedings taken outside its territorial jurisdiction.”

(Emphasis supplied by this Court.)

It is vivid from the above that where the ultimate relief relates to an act done or proceeding taken within the territorial jurisdiction of a particular High Court, no other High Court can assume jurisdiction merely because one of the reliefs touches upon an act of a federal body.

11. Applying the above principles, the following features in the instant case are determinative:

(i) the applications for grant of license as trade organization were moved by appellant and respondent No.1, respectively at the Directorate General of Trade Organizations, Ministry of Commerce, Islamabad.

(ii) Licence to the appellant as trade organization was granted by the Regulator of Trade Organizations, Directorate General of Trade Organization Ministry of Commerce, Islamabad on 26.08.2021.

(iii) Application of respondent No.1 for grant of licence was rejected by the same office at Islamabad.

(iv) Respondent No.1 challenged rejection of his application through appeal under section 21(2) and his appeal was accepted by way of impugned order-in-appeal dated 05.10.2022 passed by the Committee of the Federal Cabinet, Ministry of Commerce, Government of Pakistan at Islamabad.

(v) The ultimate relief sought in this F.A.O. is to declare the order dated 05.10.2022 unlawful and to set it aside; therefore, the dominant object is the judicial review of an act/proceeding at Islamabad.

(vi) Section 21(4) of the Act of 2013 uses the expression “the High Court” without specifying a particular High Court, hence, the appeal must be filed before the High Court having territorial jurisdiction over the impugned act/proceeding and the forum where the cause of action predominantly and integrally arose.

(vii) In the light of principles laid down in the above quoted precedents, acts/proceedings undertaken at Islamabad by a federal forum are to be challenged before the High Court having territorial jurisdiction over Islamabad, i.e., the Islamabad High Court.

12. If this Court were to entertain the instant appeal merely because the appellant or some of its members may have operations/offices within Punjab, the jurisdictional discipline emphasized by the Supreme Court, particularly the “dominant object” test and the disapproval of contrived forum selection, would be diluted, and the door for forum shopping would open in matters arising from federal appellate orders passed at Islamabad.

13. The reliance placed by the learned counsel for the appellant on *Messrs Jet Green* case is misconceived for the said judgment is distinguishable on material facts and the governing legal framework. In *Messrs Jet Green* case, the controversy pertained to the exercise of this Court’s writ jurisdiction under Article 199 of the Constitution whereas the present proceedings arise out of a statutory appeal under Section 21(4) of the Act of 2013 where the determinative consideration remains the territorial nexus of the impugned act/order and the

proceedings that culminated therein. Furthermore, the reasoning in the judgment in *Messrs Jet Green* case rested, *inter alia*, on the judgment of this Court in “General (R) Pervez Musharraf v. Federation of Pakistan and others” (PLD 2020 Lahore 285), which has subsequently been set aside by the Supreme Court in *Taufiq Asif* case (*supra*) on the ground that it suffered from lack of jurisdiction and was declared unconstitutional.

14. For the foregoing reasons, this F.A.O. is held to be not maintainable before this Court for want of territorial jurisdiction. Consequently, the same is returned to the appellant for presentation before the competent forum, i.e., the Islamabad High Court, if so advised. Office is directed to return this appeal along with annexures to the appellant in terms of Order VII Rule 10 of the Code of Civil Procedure, 1908, after retaining photo copies thereof in the record.

It is clarified that this Court has not examined the merits of the controversy, and all questions on merits are left open to be adjudicated by the Court possessed of jurisdiction.

The appellant shall be at liberty to seek appropriate relief regarding exclusion of time/condonation of delay, if any occasion arises, on the basis of time spent *bona fide* before this Court, in accordance with law, including the principle underlying Section 14 of the Limitation Act, 1908.

No order as to costs.

(RAHEEL KAMRAN)
JUDGE

Announced in the Open Court on _____

JUDGE

Approved for reporting.

JUDGE